

26STCV13978 26STCV13978

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Case Number: 26STCV13978 Hearing Date: July 7, 2026 Dept: 311

SUPERIOR COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil Division

Central District, Stanley Mosk Courthouse, Department 311

Tentative Ruling

26STCV13978

CINDY ARITA, AS TRUSTEE OF THE CINDY ARITA-SALVADOR SEPARATE PROPERTY TRUST, et al. vs D&S ASSOCIATES, LLC, A CALIFORNIA LIMITED LIABILITY COMPANY, et al.

July 7, 2026

8:30 AM

NATURE OF PROCEEDINGS: PLAINTIFFS' MOTION TO DISSOLVE D & S PARTNERS, L.P. AND FOR APPOINTMENT OF A RECEIVER TO WIND DOWN THE PARTNERSHIP.

RULING:

The Court denies without prejudice the combined Motion as to the request to dissolve, and orders it off calendar without prejudice to renotice for hearing in the assigned Department as to a motion to appoint receiver.

The Court overrules objection number 11 in Defendants' Evidentiary Objections, filed June 25, 2026, and sustains the objections as to all remaining numbers.

I. BACKGROUND

On April 29, 2026, CINDY ARITA, etc., et al. (Plaintiffs) filed a Complaint against D&S ASSOCIATES, LLC, et al. (Defendants), listing Causes of Action for:

- (1) BREACH OF FIDUCIARY DUTY
- (2) BREACH OF LIMITED PARTNERSHIP AGREEMENT
- (3) JUDICIAL REMOVAL OF GENERAL PARTNER AND APPOINTMENT OF RECEIVER
- (4) DISSOLUTION OF THE PARTNERSHIP AND APPOINTMENT OF RECEIVER
- (5) FRAUDULENT CONCEALMENT
- (6) CONVERSION
- (7) AIDING AND ABETTING BREACH OF FIDUCIARY DUTY
- (8) ACCOUNTING
- (9) CONSTRUCTIVE TRUST.

Plaintiffs sue individually and derivatively, on behalf of D & S Partners, L.P., regarding allegations that Defendant ERNEST DOIZAKI managed plaintiffs' real estate investment partnership D & S Partners, L.P., has been secretly diverting partnership funds to himself, companies he owned, and Defendant JAMES DOIZAKI, which Plaintiffs had discovered in June 2023.

On June 5, 2026, Plaintiffs filed the Motion to Dissolve D & S PARTNERS, L.P. and for Appointment of a Receiver to Wind Down the Partnership, pursuant to California Corporations Code Section 15908.02, and Code of Civil Procedure Section 564.

Defendants D & S ASSOCIATES, LLC and D.F. ASSOCIATES, and NOMINAL DEFENDANT D & S PARTNERS, L.P. (Opposing Defendants), make counterarguments including evidence incompetency, disputed facts, assignment of receivership motions to another Department, and a pending arbitration motion.

II. LEGAL STANDARD

Dissolution of a Limited Partnership is authorized where it is not reasonably practicable to carry on the activities of the limited partnership in conformity with the partnership agreement. (Corp. C. 15908.02.)

Other events can result in dissolution, including:

- The general partner engaged in wrongful conduct that adversely and materially affected the partnership business;

- The general partner willfully or persistently committed a material breach of the partnership agreement or a duty owed to the partnership or the other partners (Corps.C. § 15904.08,...); or
- The general partner engaged in misconduct relating to the partnership business “that makes it not reasonably practicable” to carry on the business with that person as a general partner. [Corps.C. § 15906.03(e)]

(Partner's Dissociation from Partnership, Cal. Prac. Guide Pass--Through Entities, § 5:576. See also generally Dissociation as General Partner., 9 Witkin, Summary 11th Partn. § 97 (2026).)

“A general partner's ... removal, incompetence, ... dissolves the partnership ... unless (1) at least one remaining general partner continues the business, or (2) where there is no remaining general partner, consent to continue the limited partnership and admit at least one general partner is given within 90 days by limited partners owning a majority of the rights to receive distributions. [Corps.C. § 15908.01(c)(2); see Corps.C. § 15906.03]”. (Forms of Business Entities—Basic Characteristics, Cal. Prac. Guide Corps., § 2:35.)

“The LP Act does not grant the limited partners the right to remove the general partner (other than in the limited circumstances set forth in Corps.C. § 15906.03(d),...). If the limited partners are to be granted that right, it must be set forth in the partnership agreement.” (Partners' Rights, Duties and Liabilities, Cal. Prac. Guide Pass--Through Entities, § 5:361.)

III. ANALYSIS

Plaintiffs base requests for both partnership dissolution and a receivership, upon facts alleged as follows: “Plaintiffs have discovered that the family member they entrusted to run the Partnership, Defendant Ernie Doizaki (“Ernie”) has betrayed them by stealing from the Partnership. Not only has Ernie overtly stolen from the Partnership, but he has turned a blind eye to his nephew Defendant James Doizaki’s (“James”) theft of Partnership assets.” (Motion, 1:3-7.)

Opposing Defendants argue points including the following:

- The parties agreed to arbitrate their disputes, including the issue of dissolution pursuant to the Partnership's Restated Agreement of Limited Partnership, and the Motion is scheduled for July 20, 2026.
- The Motion relies on incompetent proof, including vituperation, unsubstantiated accusations and conjecture and lacks substantial evidence to meet the requirements.
- The Motion is premature before further discovery and an evidentiary hearing. (Opposition, 2:2-9.)
- Receivership requests are assigned to other Departments. (Opposition, 7:4-9.)
- The opposing proof shows that the LLC is not permitting misappropriation partnership assets, but has been acting to ascertain and to recover them, while cooperating with Plaintiffs in producing requested information. (E.g., Opposition, pp. 9-12.)

Corporations Code “Subdivision (a) of section 15908.02 provides that, ‘[o]n application by a partner, a court of competent jurisdiction may order dissolution of a limited partnership if it is not reasonably practicable to carry on the activities of the limited partnership in conformity with the partnership agreement.’ ” (Koenig v. Centralia Ltd. Invs. (2025) 112 Cal.App.5th 1174, 1187. Accord, Panakosta Partners, LP v. Hammer Lane Management, LLC (2011) 199 Cal.App.4th 612, 619. See also Corps.C. § 15906.03 [including partner misconduct, incompetence, etc.])

The Court considers the competent parts of the evidence, and resolves the evidentiary conflicts, to find that the statutory and partnership agreement conditions are not satisfied and do not support a partnership dissolution, at this time.

Specifically, the Court sustains opposing evidentiary objections as specified above and finds that insufficient evidence survives to support dissolution.

As for opposing proof, the Court presently finds that the subject partnership is not being mismanaged but is carrying on activities in conformity with the Limited Partnership Agreement. (E.g., Ernest Y. Doizaki Declaration, ¶¶ 5-21.) And the Reply Declaration of Robert Estrin, attaching argumentative email exchanges between counsel, does not materially affect the Court's analysis. Furthermore, evidence should not be filed with replies. "[T]he general rule is that new evidence is not permitted even on reply." (Haydon v. Elegance at Dublin (2024) 97 Cal.App.5th 1280, 1289.)

Regarding arbitration, for purposes of this dissolution application only, without prejudging the pending hearing, the Court notes that the agreement provides that the arbitrator, and not the Court, decides the arbitration compelling issues. (E.g., Eileen M. Doizkaki-Stastny Declaration, filed 6/5/26, Exhibit A (Limited Partnership Agreement) § 9.1 ("Any controversy concerning whether a dispute is an arbitrable dispute or as to the interpretation or enforceability of this Section 9.1 shall be determined by the arbitrator.")). Arbitration agreements, delegating to arbitrators, may be enforceable and broad enough to include all issues concerning validity, enforceability, interpretation, scope and applicability provisions. (E.g., Aanderud v. Superior Court (2017) 13 Cal.App.5th 880, 898.)

As for the Motion for Receivership, it is assigned to another Department, under Local Rules providing for distribution of court business. (See Super. Ct. LA County, Local Rules, rule 2.8(c)-(d).) One department of the Superior Court cannot interfere with the exercise of power of another department to which a proceeding has been assigned. (E.g., Elsea v. Saberi (1992) 4 Cal.App.4th 625, 630; In re Complex Asbestos Litig. (1991) 232 Cal.App.3d 572, 600.) "The superior courts are authorized to adopt local rules 'to expedite and facilitate the business of the court.' (Code Civ. Proc., § 575.1, subd. (a); see Cal. Rules of Court, rule 981.) The Los Angeles Superior Court had adopted such local rules pertaining to the distribution of court business. (L.A. Super. Ct., Local Rules, ch. 2.)" (In re Ramirez (2001) 89 Cal.App.4th 1312, 1319.) Here, the gist of the Proposed Order, lodged on June 5, 2026, reads as though a receivership is the relief sought, with the dissolution application portion being only tangentially related.

IV. CONCLUSION

The Court denies the Motion for Dissolution without prejudice to any proper motion based upon sufficiently competent and persuasive proof.

The Court orders off calendar the Motion for Receiver, without prejudice to renote it for hearing in the assigned Department.

Finally, the Court encourages the parties to faithfully follow evidentiary rules, Local Rules, and motion and arbitration procedures and laws.

Opposing Defendants to give notice.